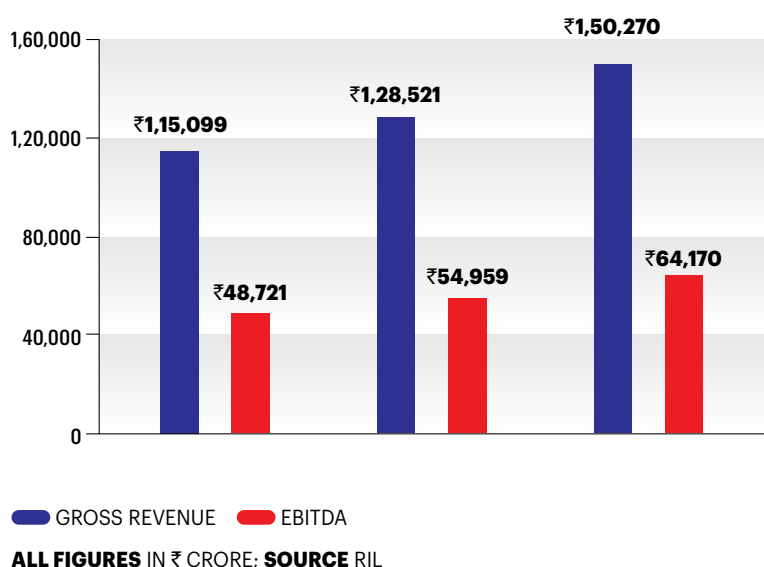


STEADY RISE

• Jio Platforms has seen a steady increase in revenue over the past 3 years



“The IPO would broaden India’s tech representation beyond IT, giving investors exposure to a consumer internet and digital infrastructure story”

BHAVESH A SHAH

MANAGING DIRECTOR &
HEAD - INVESTMENT BANKING,
EQUIRUS CAPITAL

a “deep-tech powerhouse”, making it formidable. “In today’s dynamic tech world, they have a presence in OTT, fintech and AI to name just a few areas. It is difficult to replicate Jio’s model due to multiple entry barriers.”

Shah says Jio has always positioned itself as a digital company. “Once there is scale in connectivity, the company has been able to layer multiple services on top. Jio Platforms has transformed into a digital-first, consumer-tech platform that sits at the intersection of telecom, data, and digital services,” he says.

Jio’s plans for the future rest on five assurances—connect every Indian on mobile and broadband, equip every Indian with digital services, digitise every Indian enterprise with simple, scalable and secure platforms, herald the AI revolution, and expand operations abroad.

A potential shot in the arm could be a proposal before the Securities and Exchange Board of India to allow companies valued more than ₹1 lakh crore to dilute just 2.5% of their equity, from 5% earlier. “At Jio’s scale, even 2.5% translates into a sizeable float and gives promoters flexibility in timing and structuring the offer. It could also mean that RIL prioritises strategic alignment and price discovery over raising a very large primary corpus upfront,” says Agrawal of Anand Rath Investment Banking.

TO SCALE

From a numbers point of view, the JioAirFiber fixed wireless broadband service adds over one million homes each month and Jio True 5G has over 220 million users. Jain maintains Jio’s IPO is an indication that RIL is looking at the “very long-term.” India’s large population, he says, offers an unlimited opportunity. “With

telecommunications, they have gone deep into data penetration. Now, we are seeing the making of a massive tech company.”

A JM Financial report says Jio’s IPO increases the probability of a sharp hike in telecom tariffs by nearly 15% by November or December, which is likely to be positive for both Jio and its biggest rival Bharti Airtel. Ambani, at the AGM, also spoke of RIL developing AI as the new growth engine and embedding it across all businesses, from retail and telecom to energy and entertainment. For this, a new subsidiary, Reliance Intelligence, has been set up “to house India’s next generation AI infrastructure, global partnerships, talent for AI and build AI services for India.”

The journey to becoming a deep-tech major is clearly underway. A key stop on the way will be the listing of Jio Platforms. **BT**

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